Graphic Design

Essentials for Design Businesses

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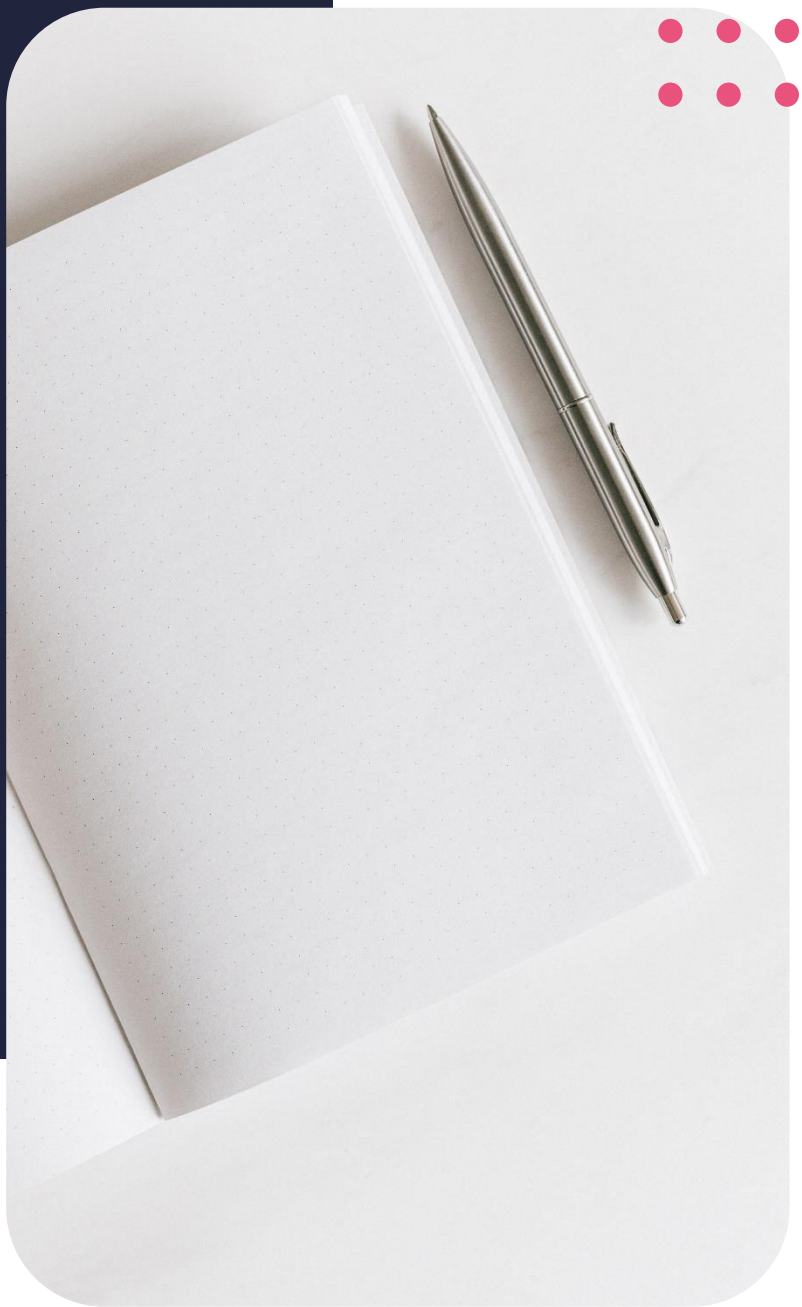


Lesson outcomes

By the end of this lesson, you should be able to:

- Understand the process of pricing your design work
- Be familiar with a variety of small business tools
- Understand the process of working on a tight budget

Practical lesson outcome: Understand how to make use of easel.ly

Introduction

The one question that I am probably faced with daily by students is how to price your work. The problem with this question is that there is no definite answer. There is no standard guide indicating how much a designer should charge. However, I can provide you with some useful insight on how to determine your worth. We have briefly looked at when we discussed the design cycle but I will break it down some more this time. Along with this, I will provide you with some useful resources that I personally make use of. These resources are useful because you don't have a lot of time to spend on the process of setting up a quotation for a client or even delegating tasks to your team, so we make use of these handy resources to speed up our workflow.

As always, I would like to share a quote with you that relates to our topic for the day. Michale Bierut, partner of the design powerhouse Petragram stated that "if you do good work for good clients, it will lead to other good work for other good clients. If you do bad work for bad clients, it will lead to other bad work for other bad clients." Ultimately your value lies within how well you do your work and how well you look after your clients.

Today's lesson is about learning and understanding some useful tools for design start-ups or even if you are considering to be a freelance designer. We will start off with how to price your work in an extremely competitive industry. How much do we charge and what is a fair rate? I will move over to provide you with some useful resources that will assist in a more effective workflow, these resources not only apply to design businesses but small businesses in general. Ending off with alternative design software that might assist you when you are on a tight budget

How to price your work

As you have learned throughout this course, graphic design is a very competitive industry. It has its perks though, with so much competition, we can be sure that the quality of work delivered will be of the utmost best. Competition has its advantages and I don't want you to see it as a downfall.

Advantages of having competition

If there is no one you can compete with, how do you know that you are any good at all? Having competition makes you aware of your weaknesses and creates goals that will assist you in aiming higher…because you want to stand out and be the best.

Another advantage of working in a highly competitive industry is that is forces you to think creatively and to be innovative.

Due to a lot of competition, we have a tendency to up our game and deliver even better quality. It assists you in having higher standards and you will technically always aim for exceeding those standards. In other words, your standards will always increase as your skill increase.

With a lot of competition, we tend to try and stand out. Differentiating yourself from the rest links in quite well with being innovative because you will need to come up with something different, something that has not been done before.

Having the fear of either losing a client will motivate you to work even harder. You will make a plan to accommodate the client and find ways to improve your efficiency.

No one likes to have an unhappy customer. Unfortunately it is inevitable and you will stumble upon this type of client now and again. We are all human and make mistakes, so learn from these mistakes. Working in a competitive environment will teach you to appreciate your customers and look after their needs, this in return will make your customers feel special.

We, including myself are quick to see competition as a disadvantage but it is the driving force behind innovation and efficiency. Just because it is not easy, does not make it a bad thing.

Expenses to consider

With all this in mind, you might ask yourself but how much do I charge. There is no simple answer to this question but as with any business' aim, you will need to make a profit.

The key expenses that you will need to consider will most likely be the following.

- Rent – if you're lucky, you can work from home and rent won't be that much of an issue
- Hardware – you need actual computers and other hardware to get the job done
- Software – software don't come cheap, so you will most probably need to pay for your design software. However, I will introduce you to some free alternatives for design software a bit later in the lesson.
- Internet & telecommunication – You need a stable and reliable internet connection as well as a phone to communicate with your clients and suppliers
- Insurance – A lot of designers disregard this option, but from personal experience I will definitely recommend having insurance. There are a variety of insurance options from life, property, sort term…the list goes on. If you would be interested, check out our financial planning course that will teach you all there is to know about this topic.
- Legal consideration – Depending on your country's legislation, you will most probably need to register your business and also have a lawyer assist you in setting up your design company's terms & conditions.
- Office supplies – These can be anything from a desk, chair and even stationery.

- Marketing – Your business will need exposure otherwise how will your clients know about your service??
- Travel – You might not travel much, but you might need to visit your client or pick work up from your supplier.
- Other – this can include meeting a client at a coffee shop or needing to pay for a workshop to upskill yourself.

After you have determined your expenses, you will then add profit depending on your experience and target market served.

Now, of course, I cannot tell you the exact details of your expenses and you will need to determine this yourself. Also, you might be working from home and might save on rent, so these expenses will differ from person to person.

Having said all this, you need to know what your total expenses per month are. I cannot tell you exactly what you should charge, but what I can do, is share with you the way I determine my price and which has been working quite well for me. Normally, most tasks will take you around one day to finalise. I personally don't charge an hourly rate, but rather work with a day rate. Charging by the hour will make you forget about various other expenses, so I have found a day rate to be a lot more efficient.

Determine what your average expenses within a month will be and divide that by 20 because let's pretend that you will work from Monday - Friday and take two days off over weekends (however, as a designer, you will most probably work over weekends). Technically you will have approximately 20 working days within a month and that is how I got to 20.

Depending on your experience, add your profit on top of your expenses.

Scenario

Let's test this using the scenario of a designer residing in the United States of America. As a relatively young or new designer, you would like to earn an income of around $3000 a month. This should be enough to cover your expenses and to have some cash left at the end of the month.

Dividing this $3000 by 20 days, it will give you an amount of $150. This can be a good estimate for a day rate.

How long does it take you to create a corporate identity for a client? If you are quite confident with your skill, this should take you around one day, thus, you will charge $150. It will take me about half a day to create a movie poster, thus, my rate for a movie poster will be $75.

Now, you don't need to use this technique and I am not saying it will work for everyone, but it does give you a good starting point, especially if you are unsure of what to even charge!

Did you know?

Did you know you do not need a degree to become a graphic designer. A lot of successful graphic designers have done short courses, like this one or are even self taught. However, this doesn't mean that it is easy to become a successful graphic designer as you still need to be creative, have a vision and be willing to work hard.

Small business tools

A tight budget does not have to mean compromising on creativity. There are a variety of techniques and tools you can use that will definitely not cost you an arm and a leg. I would like to share with you some of the tools that I personally make use of as well as some other tools that might be quite handy. These tools have saved me so much time and money as a small business owner, that I am sure they will do the same for you.

Wave Financial

I have heard a lot of people, especially creatives mention that they are not good with administration and finance matters. However, when you work for yourself, it is essential to be on top of your finances. A tool that I really love to use in order to organise all my financial tasks is Wave Financial. I even use it in my private capacity and not only for my business. Wave will create professional-looking invoices and even send your clients reminders when they are late with a payment. You can setup recurring invoices and even see when your client has viewed their invoice. All this in a free online software application. You simply need to create an account - www.waveapps.com

Docsend

I have used Docsend for market research and it has given me a lot of information regarding potential employees or clients. You can share confidential documents in real-time with ease. Docsend will provide you feedback as to who viewed your document, how long the person has viewed it, what type of device they have viewed it from and many other features. You can even protect your documents with a password – www.docsend.com

Where would you use this application? Well, you can use it for when you might be sending your resume or portfolio to a potential employee or when you are sending your pricelist or packages to a potential client. If they have only viewed your document for a couple of seconds, it means that there is something wrong - either your portfolio or resume is irrelevant for the position applied or you might be too expensive for your potential customer.

You can make use of Docsend for free but will only be able to upload a limited number of documents, thereafter, you will need to pay.

Mailchimp

I am sure that you have heard of Mailchimp before. Mailchimp is a marketing automation platform and email marketing service. It allows you to build up a database of client email addresses. In return, you can send newsletters to your clients. It is very easy to use and allows you to target a very specific audience. There are other alternatives to Mailchimp like Freshworks or Email On Acid, Intercom and Mailblaze. With these marketing automation platforms, you can add a pop-up form to your website where potential customers can add their contact details. But how do you get people to add their contact details to a pop-up form? By giving them something in return, this can either be in the form of a discount voucher or a freebie – www.mailchimp.com

Trello

Trello, Asana and Monday.com are all team and project management online applications. These applications work really well for when a team of people work simultaneously on a project. It's like a digital diary. Trello is a collaboration tool that organises your projects into boards and then cards - almost like you would use in real life. Trello tells you what's being worked on, who is working on it and what they are doing – www.trello.com

Google workspace

Google workspace, formally known as G suite is the name for all the Google tools that you might be familiar with. This includes Gmail, Google drive, Google docs, sheet and slides, Google calendar, Google meet and even Google maps. There are so many features that you can use by simply having a Google account. These features are available at no cost, there are enterprise features such as custom email and domain addresses as well as options for Google drive to have unlimited storage options but you will need to pay for these additional features – workspace.google.com

Social media management tools

Hootsuite & Buffer are social media management platforms. Why post individually on all your social media platforms when you can post simultaneously with these tools. Like most features mentioned so far, these are freemium

software. This means that you can use a limited features for free of charge but premium and enterprise features will be paid for, either on a monthly basis or once-off – www.hootsuite.com & buffer.com

Working on a tight budget

The one problem most small businesses are faced with is that you might not always have the financial resources to get started. However, there are various tools, like the ones I've just shared with you that will make the process of becoming a small business owner slightly easier. The tools that you will be learning about today are specifically for graphic designers and you will be able to utilise these tools free of charge!

Steps for saving time and money

You can follow these five simple steps and you'll soon find you can wring more out of a small design budget than you ever thought possible.

These steps are:

1 - Manage the client's expectations

Getting the most from your budget always starts with setting the right budget in the first place, and that relies on getting a good brief together. Make sure you understand what's expected, and what falls within the brief. Then manage your client's expectations as to what they're actually going to get from the project.

2 - Invest your time wisely

You also need to make sure that you put enough time into a project right at the beginning. Often, clients will want to see your ideas really quickly, and they might not give you enough time to do the research and all the planning or to get a good concept together and hold focus groups if necessary. Time management gets better with experience but you should not create false expectations. There's a saying that goes: rather under-promise and over-deliver.

3 - Plan your print run (if needed)

Your campaign should be properly planned so that you print the right amount to start with, rather than doing one print run and then having the client come back a few months later wanting a bit more (or wasting money by overprinting in the first place). Again, this planning might get better with experience but if you're unsure, then consult your printer. Remember, they work with various clients daily and can at least give you a good idea of the print run.

4 - Size up your paper stock (if needed)

When it comes to picking your paper stock if the project allows it, then stick to standard paper sizes – these are often most efficient and economical. They are also a lot easier to obtain. You can potentially save on paper stock but work out if it's worth it for your particular job.

5 - Get the best from your suppliers

It's very important to have good relationships with your suppliers. This isn't so you can knock their prices down, however. Try not to do this, because everyone is already doing things on the tightest of design budgets. It is good for mutual agreements and understanding the way your suppliers operates, which in return will give you a good understanding of the timeframe it might take to deliver. Also, if your supplier provides you with a discount, this is an added bonus!

Open-source design software

It is not the tools but the skill. Even using a simple application like Canva in the wrong hands can create a terrible looking design, however, if you have a strong design foundation and good knowledge, you can do wonders with these applications.

I know that design software can be expensive and for good reason. How else should these software engineers generate an income if we can all simply download whatever software we want or need for free? However, there are so many options for designing with a tight budget and some of you might have heard of these applications before. We actually have a course in teaching the use of more affordable design software called graphic design on a budget, if you would like to check it out.

GIMP

GIMP is an acronym for GNU Image Manipulation application. It is a freely distributed application for such tasks as photo retouching, image composition and image authoring. It has many capabilities. It can be used as a simple paint program, an expert quality photo retouching program, an online batch processing system, a mass production image renderer, an image format converter, and a whole lot of other tools for when Photoshop might be just too expensive - www.gimp.org

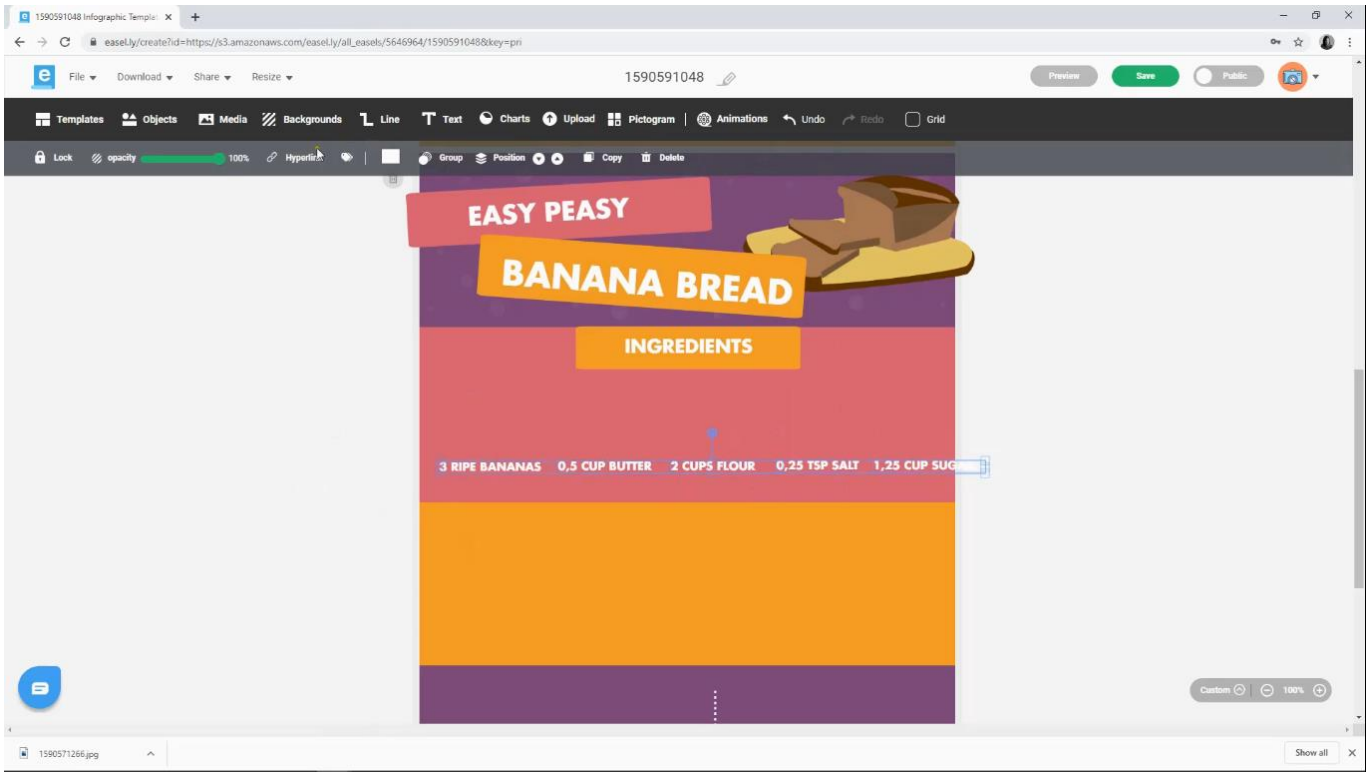
Inkscape

Inkscape is a Free and open-source vector graphics editor for GNU/Linux, Windows and MacOS X. It offers a rich set of features and is widely used for both artistic and technical illustrations such as cartoons, clip art, logos, typography, diagramming and flowcharting. It uses vector graphics to allow for sharp printouts and renderings at unlimited resolution and is not bound to a fixed number of pixels like raster graphics. Inkscape uses the standardized SVG file format as its main format, which is supported by many other applications including web browsers – inkscape.org

Easel.ly

Easel.ly is a web-based infographic platform used by educators, students, executives and businesses for representing and conveying their ideas, concepts, reports, processes and projects through visual forms that are easy to follow and inspiring. Intuitive and simple, Easel.ly is a web tool that assists in creating and designing infographics online even if you don't have a design experience. Thus, the infographic creation tool allows you to create timelines, annotated maps, flowcharts, posters, announcements, instructional guides, and any other visual displays that show data or information – easel.ly

Demo: Easel.ly



Please refer to video lesson for this demo

Other open-source design alternatives

Now, there are multiple other open-source and more affordable software options out there, so I suggest that if you are interested in learning these applications, check out our professional diploma in graphic design on a budget. It not only teaches you the foundation of effective visual communication but you learn how to work on a variety of open-source software including the ones mentioned.

Vecteezy

Gravit

Blender

Canva

Adobe Spark

Conclusion

I would suggest that you acquaint yourself with at least one of the tools you were introduced to today.

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